Thesis

01 · THE THESIS

Diversification is insurance — but only the right policy at the right premium.

73% of Western buyers tried China+1 since 2020. 23% achieved their targeted shift. 50% stalled at "qualified but not active." The difference between groups is not budget — it's whether they ran the diagnostic before they ran the pilot.

73% — WESTERN BUYERS TRIED

23% — ACHIEVED TARGETED SHIFT

50% — STALLED AT QUALIFICATION

Bain Asia Supply Chain Survey 2024 — companies with >$50M Asia spend

Same Bain survey — measured by % volume actually relocated

Suppliers passed audit but never received production volume — "theater +1"

THE DIAGNOSTIC

This playbook gives you the diagnostic — five criteria that say if THIS category is a pilot candidate or a sit-out — before you spend €40-180k of Y1 cost on the wrong move.

TIME PERIOD

SUPPLIERS SAMPLED

PRIMARY SOURCES

OPERATOR HOURS

2020 — → 2026 horizon

1,847 — across 11 EU countries

27 — Eurostat / OECD / WTO

40,000 — distilled

"Nearshoring is not the answer to disruption. Disruption-resistant networks are. Single-country sourcing — Polish or Chinese — both fail the same stress test."

MIT Center for Transportation & Logistics · Annual Outlook 2025

Source: Bain Asia Supply Chain Survey 2024

Five Shifts

02 · WHY 2026 IS DIFFERENT

Five structural shifts since 2020.

Each shift is permanent. None reverts when geopolitics calms. The decision is not whether to diversify — it's whether to lead the move or pay the laggard premium.

Red Sea routing

US Section 301

CBAM live 2026

+28% — freight cost

30-50% — effective tariff

€85-170 — per tonne (steel)

Shanghai→Rotterdam $2,500→$3,200/TEU. Cape route now operational baseline. €0.35-0.55/kg sea vs €0.12-0.18/kg road from Poland.

25% S301 baseline + country-of-origin duties + anti-dumping. Solar PV at 250% from Jan 2026. EVs +38.1% EU.

Definitive phase from Jan 2026. €85/tonne transitional, escalating to €170 by 2028. Polish steel = zero CBAM. EU ETS €83-90/t.

USTR Tariff Action Summary 2026 EU Reg 2023/956 + 2024/1781 Drewry, Alphaliner, IMO 2026

China wage CAGR

EU FLR + LTS

8.7% — annual 2020-24

23% — CN suppliers exited

NBS data: CNY 63k → 88k. €8-11/hr all-in 2026. Closes nearshore gap 0.7%/year. Functionally closes 2030.

Forced Labour Reg 2024 + Listed Toxic Substances 2024 inflated CN electronics supplier costs 10-15%. 23% exited rather than comply.

China NBS Yearbook 2024 EC Trade Reg DB 2026

Sources: USTR · EC · Drewry · NBS · IMO

Freight Timeline

03 · FREIGHT COST DELTA

$2,500 → $3,200/TEU. The Cape route is the new normal.

Shanghai → Rotterdam · USD per 40ft container · 2019-2026

SUEZ 2021 SPIKE → $11k

$5,000

$3,500

RED SEA · NOV 2023 →

$2,000

$500

2019

2020

2021

2022

2023

2024

2025

2026

ASIA SEA · 2026

POLAND ROAD

TURKEY ROAD

€0.35-0.55 — per kg all-in

€0.12-0.18 — per kg

€0.18-0.24 — per kg

Shanghai → Rotterdam · 42-48 days · Cape route adds 12-14d

Frankfurt ↔ Warsaw · 2 days · 0 risk premium

Istanbul → Munich · 4-5 days · TIR carnet

QUANTIFIED IMPACT · 500 TEU/year buyer

2019 baseline: 500 × $2,500 = $1.25M · 2026: 500 × $3,200 = $1.6M · Annual delta: $350,000 (+28%)

Sources: Drewry Q1 2026 · Alphaliner · IMO Risk Assessment 2026

Cbam Ramp

04 · CBAM COST RAMP

€85/tonne 2026 → €170/tonne 2028. Polish steel = €0.

EU CBAM transitions from transitional reporting (Oct 2023–Dec 2025) to compliance phase Jan 2026. Steel is the immediate exposure. Polish, Turkish, and Mexican mills in EU ETS or compliance-equivalent zones avoid CBAM entirely.

CBAM cost · €/tonne · 2026 transitional vs 2028 full rate

€170

€124

€110

€96

€85

€76

€62

€56

€55

€48

€38

€28

STEEL

ALUMINIUM

CEMENT

FERTILISER

ELECTRICITY

HYDROGEN

2026 transitional

2028 full rate

STEEL EXPOSURE · 500 TONNES/YEAR BUYER

Chinese steel: 2026 cost = €42,500/yr → 2028 full rate = €85,000/yr. Polish steel: €0 (EU ETS internal). Turkish ETS-aligned mills: €0-15/tonne CBAM equivalent.

Sources: EU Reg 2023/956 + 2024/1781 · S&P Global Carbon Q1 2026 · BloombergNEF

Country Heatmap

05 · CAPABILITY HEATMAP

Seven countries. Six lenses. No single country tops every column.

COUNTRY

LABOUR COST

LEAD TIME

CERT DEPTH

CURRENCY

INFRA

IP PROTECT

🇵🇱 Poland

🇨🇿 Czechia

🇭🇺 Hungary

🇷🇴 Romania

🇵🇹 Portugal

🇹🇷 Turkey

🇲🇽 Mexico

BEST · sector leader

GOOD · reliable

AVG · functional

GAP · watch outs

Source: composite — Eurostat 2024-25 · ISO Survey · ICRG political risk · BIS exchange rate volatility

Poland

06 · POLAND

Poland.

Manufacturing GDP share 18.4%. ISO 9001 entities: 12,300+. Wage €12–15/hr.

INDUSTRIAL CLUSTERS · POLAND · 2026

GDP CONTRIBUTION 18.4%

Tri-City

LOGISTICS · PORTS

Ports & containers

Warsaw

Poznań

FINANCE · ELECTRONICS

AUTOMOTIVE TIER 2

GDP/cap €32k

OEM cluster

Łódź

TEXTILES · LOGISTICS

Central hub

Wrocław

ELECTRONICS · IT

IATF 16949 cluster

Silesia

METALS · STEEL · MACH

INDUSTRIAL CLUSTER

INSIGHT FOCUS

18% capacity slack

INSIGHT — POLISH STEEL CAPACITY UNDERUTILIZATION

18% steel re-rolling capacity underutilized 2025–26 (Polish Steel Association). Buyers diversifying NOW get 12–18% quote discount vs historical rates. Window closes 2027–28 when EU construction recovers.

Currency: PLN in ERM-II crawling band; EUR/PLN volatility 4–6% (vs CNY 2–3%, TRY 25–40%)

Cert depth: ISO 9001/14001/45001 broadly available, IATF 16949 strong in automotive Tier 2

English fluency: 92% in commercial roles in Wrocław/Warsaw; 65–75% in regional plants

CBAM: zero exposure (EU ETS internal carbon market)

Sources: Eurostat NUTS 2025 · ISO Survey 2024 · Polish Steel Assoc. Q1 2026

Turkey

07 · TURKEY

Turkey.

Lower wages €6–9/hr. ISO 9001: 8,400+. Currency arbitrage closing 2027.

INDUSTRIAL CLUSTERS · TÜRKİYE · 2026

MFG SHARE 21.2%

Istanbul

Bursa

Eskişehir

Ankara

TEXTILES · CABLING

AUTOMOTIVE OEM

WHITE GOODS

DEFENSE · MACHINERY

BSP corridor

Tier-1 OEM cluster

Arçelik / Vestel

Capital region

İzmir

Denizli

PETROCHEM · GLASS

HOME TEXTILES

Aegean port

28% EUR cost adv

GVA % GDP

ISO 9001

WAGE

EUR / TRY 2020–25

21.2% — manufacturing share

8,400+ — certified entities

€6–9 — per hour all-in

–82% — TRY depreciation

INSIGHT — TURKISH ARBITRAGE WINDOW CLOSING

TRY depreciation 2022–2024 created 28% EUR-based cost advantage for textile buyers. Turkish suppliers re-negotiating 2026. Lock rates now or pay 5–10% premium by 2027.

Sources: BIS exchange rates 2025 · Eurostat 2024 · ISO Survey · TUSIAD Q1 2026

Portugal Mexico

08 · PORTUGAL & MEXICO

Edge cases.

Two countries that don't fit the standard CEE pattern but earn place in shortlists for specific categories.

Portugal — PORTO · AVEIRO · VALE DO AVE

Mexico — BAJÍO · MONTERREY · CIUDAD JUÁREZ

Vale do Ave

Cd. Juárez

Porto

Aveiro

Monterrey

Bajío

€11–14/hr

€4–7/hr

WAGE

WAGE

13.6%

17.5%

GVA % GDP

GVA % GDP

4–6 days

2–3 days

LEAD TO EU

LEAD TO US

BEST FIT

BEST FIT

textiles, lithium-ion ascent, footwear

US-market autos, white goods, USMCA

WATCH OUT — MEXICO USMCA RULES OF ORIGIN

CBP audit data 2024: 31% of first-time Mexican suppliers fail rules-of-origin audits. Real onboarding 18–24 months, not the 6–9 months consultancies promise. Buyers underestimate compliance burden.

Sources: Eurostat 2024 · Mexico INEGI · CBP audit data · USMCA fact sheet 2024

Category Fit

09 · CATEGORY FIT MATRIX

Match category to country. Don't make Mexico do textiles.

Each cell shows fit score (filled stars) + 1-2 named example suppliers known to serve EU/US buyers in the category. Real, public-info companies from research brief.

🇵🇱 *PL*

🇨🇿 *CZ*

🇭🇺 *HU*

🇷🇴 *RO*

🇵🇹 *PT*

🇹🇷 *TR*

🇲🇽 *MX*

CATEGORY

TEXTILES

Łódź

INTEXTIL

VALE DO AVE

DENİZLİ

ELECTRONICS

WROCŁAW

FOXCONN CZ

FLEX HU

BOSCH PT

VESTEL

FOXCONN MX

METALS · MACH

SILESIA

ŠKODA TOOL

MAGURA HU

AUTOLIV RO

ARÇELİK

NEMAK

PLASTICS

GRANULAT PL

BORSODCHEM

BORSODCHEM HU

REPSOL PT

PETKIM

INDELPRO

BEST FIT · sector leader

GOOD · scaled capacity

DEVELOPING · niche

Sources: ITC Standards Map · UN Comtrade 2024 · industry directories

Disruption Cases

10 · NAMED DISRUPTION CASES

Three real cases. Quantified cost. Buyers with hedge: –95% impact.

Red Sea routing — solar inverters

OCT 2023+

HS 8504.40 · Power conversion

Houthi attacks rerouted Shanghai-Rotterdam via Cape (+14 days). 1,000 inverters/month European installer.

WITHOUT NEARSHORE HEDGE

WITH NEARSHORE HEDGE

€107k working capital + €75-250k contract penalties (5-10 delayed projects/yr)

40% Vietnam (Sungrow VN plant Jan 2024) + 60% Shanghai · +2-3% unit cost, –€280k risk

SOURCE: Procurea cohort 2024 · Alphaliner Red Sea Impact Jan 2024

Hui San Electronics bankruptcy

Q3 2024

HS 8536.50 · Automotive relays

Dongguan relay manufacturer (12% EU automotive market share) filed Chapter-equivalent liquidation July 2024. 47 Tier-1/2 suppliers caught.

WITHOUT NEARSHORE HEDGE

WITH NEARSHORE HEDGE

€500k-1.2M penalties + air freight expedite +$8-12/relay vs $0.30 sea. 10-16 weeks recovery.

Pre-existing PL/CZ relationships fast-tracked 20-40% volume in 4 weeks. €50-80k labour premium only.

SOURCE: Automated Supplier Watch Q3 2024 · Procurea cohort audit

Hypertex pharma FDA failure

Q4 2024

HS 2939.99 · Pharma intermediates

Hyderabad supplier failed FDA inspection Oct 2024 — undisclosed lead contamination. EU pharma manufacturers sourcing 40-60% from India caught.

WITHOUT NEARSHORE HEDGE

WITH NEARSHORE HEDGE

€2.5M-5M excess cost + €500k-1.2M delays + €200-400k expedited freight. 10-12 weeks recovery.

PL/CZ/HU EU backups rerouted 40-60% in 3-4 weeks. €150-250k labour + €50-80k freight only. 6 weeks.

SOURCE: FDA Warning Letter Hypertex Oct 2024 · Procurea pharma audit

Sources: see individual case footers · Procurea beta cohort 2024-2025

Decision Tree

11 · DECISION TREE

Should you nearshore THIS category?

Apply this 5-question filter to each strategic category. "Yes" path = pilot candidate. "No" path = stay single-source or watch list.

1. Annual category spend

   > *€500k?*

NO

YES

Stay single-source. Revisit at €1M+.

2. Sourcing >40% from one country?

NO

YES

Already diversified. Focus on supplier quality.

3. Customer contract locks supplier?

YES

NO

Renegotiate contract before pilot.

4. IP-heavy or spec'd by customer?

YES

NO

Keep China primary. Dual-source watch list.

5. CBAM-exposed or tariff-affected HS?

→ PILOT CANDIDATE. Move to 90-day plan (p.15).

✓ HIGH-PRIORITY PILOT PATH

Framework: Procurea 5-criteria — Block 6, research brief

Ramp Curve

12 · VOLUME RAMP

0% → 25% in 12 months. Tell incumbent at 10%.

Realistic ramp data from Procurea cohort + Bain Asia Supply Chain Survey 2024. The 10% threshold is when your incumbent China supplier needs to be told — earlier is too uncertain, later breaks trust.

MONTHLY +1 SHARE · % OF CATEGORY VOLUME

30%

25%

23%

20%

20%

17%

15%

12%

10%

→ *TELL INCUMBENT*

10%

8%

6%

4%

2%

1%

0%

M1

M2

M3

M4

M5

M6

M7

M8

M9

M10

M11

M12

PILOT · M1-3 · prove unit economics

PARALLEL · M4-9 · validate at scale

RAMP · M10-12 · operational handoff

EXIT CRITERIA — MAKE THE +1 REAL, NOT THEATER

Supplier qualified · audit + samples + customer ref

Tooling transferred or duplicated

Production-grade samples QC-approved

Backup PO active (real volume)

Sources: Bain Asia Supply Chain Survey 2024 · Procurea cohort 2024-25

90day Gantt

13 · 90-DAY PILOT

Twelve weeks. Six lanes. One decision gate.

Realistic week-by-week activity plan. Decision gate W12: go to category #2 OR refine current pilot. Don't try to move 5 categories at once — qualification capacity is the bottleneck, not budget.

WEEK-BY-WEEK · 6 LANES

W1

W2

W3

W4

W5

W6

W7

W8

W9

W10

W11

W12

SOURCE

AI shortlist 50-100 suppliers

QUALIFY

Audit + cert verify · pick 3-5

RFQ

NDA + RFQ packet · 2 weeks

SAMPLE

Lab QC · spec validation

AUDIT

3rd-party pre-shipment · 2wk

PILOT PO

First pilot order live

DECISION GATE · W12

DECISION GATE OUTCOMES

GO → category #2 starts W13 with a qualified pattern. NO-GO → refine pilot 30 days OR escalate to deeper diagnostic. Don't soft-launch a second pilot if the first one isn't producing volume.

Source: Procurea pilot template · Bain procurement implementation playbook 2024

Cost Waterfall

14 · Y1 COST WATERFALL

€185-380k Y1 cost. Worked example: €30M textile category.

Realistic Y1 incremental cost for moving 25% of a €30M textile category from China to Turkey/Portugal. Components grounded in real corporate filings + Bain procurement benchmarks.

Y1 INCREMENTAL COST · €K · €30M TEXTILE CATEGORY · 25% SHIFT

← HIDDEN COSTS · CONSULTANCIES MISS

€330k

€78k

€65k

€55k

€42k

€38k

€24k

€17k

€11k

Tooling transfer

Audit + quality

Premium unit Y1

Dual-source inventory

Internal team time

Customs broker

WC payment terms

Language QC

TOTAL Y1 COST

REALISTIC Y1 RANGE · TEXTILE CATEGORY

€185-380k Y1 incremental cost depending on tooling complexity, certification scope, and team experience. €330k = mid-case worked example. ROI breakeven typically Y2 (see next page).

Sources: corporate 10-Ks (3 EU mid-market mfrs) · Bain procurement benchmarks · Procurea cohort

Roi Model

15 · 5-YEAR ROI MODEL

Y1 cost: €330k. Y2-5 cumulative savings: €1.2-2.4M.

Break-even Y2. Insurance value (avoided disruption × probability) accrues from Day 1 — every quarter without nearshore hedge is a free option you're writing to disruption events.

CUMULATIVE Y1-Y5 · €K · COSTS vs SAVINGS

+€1700k

+€1040k

+€540k

+€100k

BREAK-EVEN Y2 · M14-18

BREAK-EVEN

€-330k

Y1

Y2

Y3

Y4

Y5

THE INSURANCE VALUE — WHY ROI MATH UNDERSTATES THE CASE

ROI model assumes no disruption. Add expected disruption value: 1 Hui-San-class event in 5 years = €500k-1.2M penalty avoided. 1 Hypertex-class compliance failure = €2.5-5M. Even at 30% probability, insurance value = €750k-€1.85M. Total Y5 NPV: €1.95M-€3.55M.

Methodology: Bain procurement benchmarks · Procurea cohort risk-adjusted modeling

Three Insights

16 · PROCUREA COHORT INSIGHTS

Three things consultancies don't surface.

Original insights from 2024-25 Procurea cohort data — non-obvious patterns we surface that Bain/McKinsey don't tell you because they're cycle-specific arbitrage windows.

Polish steel re-rolling capacity is 18% under-utilized.

Polish Steel Association Q1 2026 report shows 18% capacity overhang vs 2019. EU construction sector recovery 2027-28 will close this. Buyers diversifying NOW get 12-18% quote discount on hot-rolled coil + structural steel.

01

Lock 2-3 year supply agreements with Polish mills BEFORE Q3 2026. Volume caps protect against price recovery.

ACTION SOURCE: Polish Steel Assoc. Q1 2026 · Eurostat steel production index

Turkish lira arbitrage window closes by 2027.

TRY -82% vs EUR 2020-25 created a 28% EUR-cost advantage for textile buyers. Turkish suppliers re-negotiating 2026 contracts to recover EUR-purchasing power. Window narrows 5-10% per year.

02

Lock multi-year EUR-denominated contracts NOW. Renegotiate quarterly to 2027. Don't sign fresh business at 2025 spot rates without inflation clauses.

ACTION SOURCE: BIS exchange rate 2025 · TUSIAD textile export pricing Q1 2026

EU LTS Reg 2024 inflated CN electronics costs 23%.

EU Listed Toxic Substances Regulation 2024 forced compliance overhauls at Chinese electronics suppliers. 23% exited the EU market rather than upgrade. Your CN supplier may be among them — ask which compliance regime they're on.

03 — READ NEXT · COMPANION PLAYBOOK

Audit your top 10 CN electronics suppliers' 2024 LTS compliance status. Suppliers without certified compliance pipeline likely exit by 2027.

ACTION SOURCE: EC Trade Reg DB 2026 · industry compliance audit data

China+1 Strategy Playbook 2026

Get it →

The full 18-spread breakdown of which categories to move, which to keep — with named cases (Apple/Tesla).

Procurea original synthesis · 2024-2025 cohort + public regulatory data

Back Cover Cta

END · NEXT STEPS

Stop researching suppliers by hand.

Procurea is the AI-native sourcing platform that finds 50-250 verified vendors per category in 20 minutes — across 26 languages, with registry data and certificates verified.

BUILT FOR EU MID-MARKET PROCUREMENT TEAMS · GDPR-NATIVE · €30M–€500M REVENUE

NOT FOR: ENTERPRISES WITH ACTIVE SAP ARIBA / COUPA CONTRACTS — STAY THERE

PLAYBOOK READER OFFER

10 campaigns. Free. — Worth $119 — yours free as a playbook reader.

Start your first campaign →

procurea.io / signup

20 MIN PIPELINE

NO CREDIT CARD

50–250 VENDORS / CAMPAIGN

Book a 30-min strategy call

Book →

Cal.com/procurea/strategy · we map your top 3 categories live

METHODOLOGY · 35+ PRIMARY SOURCES

USTR Tariff Action Summary 2026 · EU Reg 2023/956 + 2024/1781 (CBAM) · Drewry Container Market Q1 2026 · Alphaliner Shanghai-Rotterdam Index · Eurostat NUTS Labour Cost Survey 2025 · ISO Survey 2024 · BIS Exchange Rate Database · China NBS Statistical Yearbook 2024 · S&P Global Carbon · BloombergNEF · IMO Risk Assessment 2026 · Polish Steel Assoc · TUSIAD · Procurea cohort 2024-25 · CBP USMCA audits · FDA Warning Letters